

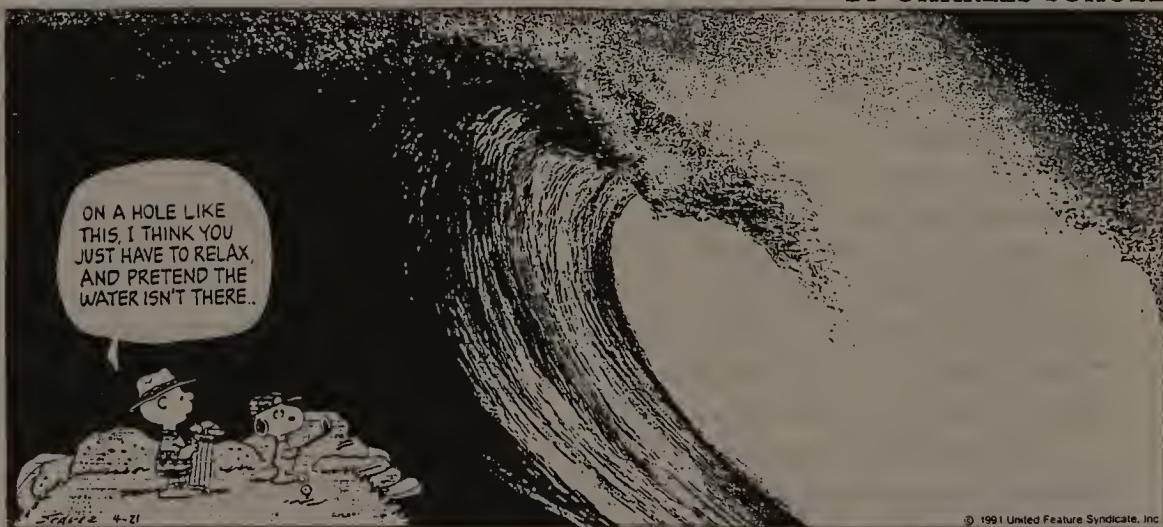
antees in life, or about the future. If this book contains any advice, it is simply to arrange for some insurance. Let's recap the reasons why doing so may be a good idea.

When *Elliott Wave Principle* said in 1978 that a great bull market in stocks and economic boom lay dead ahead, it was extremely difficult to convince still cautious investors that financial and economic trends were positive and that they should do everything they could to establish their businesses, invest in stocks, make their fortunes and put money away for the future. Ten years ago, in June 1985, *The Elliott Wave Theorist* was still delaying further elaboration on what to expect after the bull market had run its course:

Some subscribers have urged me to write about what the crash, due several years hence, will be like. I haven't wanted to do so, because it has taken all my energy to convince subscribers to remain fully invested. As for strategy with regard to the Grand Supercycle wave, the label on the front page table says it all. It has read the same since the first month of publication in April 1979: "NO ACTION WARRANTED." We will have plenty of time to explore that theme a couple of years from now. Unfortunately, at that time, few will want to hear about it.

PEANUTS®

BY CHARLES SCHULZ



Today, action *is* warranted, so I face the opposite task: to help investors to become safe and liquid and avoid the losses that the markets are poised to inflict. Back then, the majority was defensive and worried about how *low* prices should go, while now the majority is confidently predicting a continuation of the 1982-1995 experience